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SUPERIOR COURT SAN JOAQUIN
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DEPUTY

SUPERIOR COURT OF THE STATE OF CALIFORNIA

FOR THE COUNTY OF SAN JOAQUIN

BRENDAN NGEHSI NEWANFORBI,

Plaintiff,

v.

KATIE PALACIOS, Clinical Director, HOPE Program (Stockton, California), an individual; HOPE PSYCHOTHERAPY, INC., d/b/a HOPE PROGRAM, a California corporation; and DOES 1-10, inclusive,

Defendants.

Case No. STK-CV-UF-2026-0001032

PLAINTIFF'S OPPOSITION TO DEMURRER TO FIRST AMENDED COMPLAINT; MEMORANDUM OF POINTS AND AUTHORITIES

Date: July 15, 2026
Time: 9:00 a.m.
Dept.: 10A
Judge: Hon. George J. Abdallah

Complaint Filed: Feb. 10, 2026
FAC Filed: April 22, 2026
Trial Date: TBD

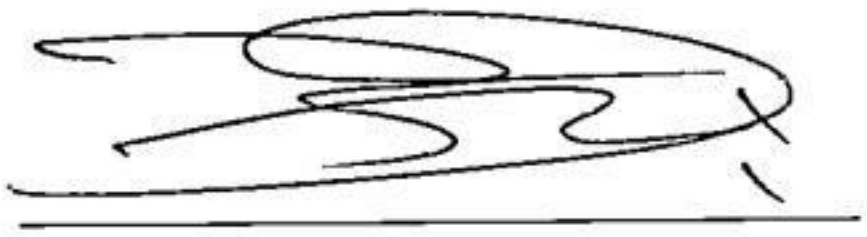
TO ALL PARTIES AND THEIR ATTORNEYS OF RECORD:

PLEASE TAKE NOTICE that on the date and time set for hearing by the Court, in Department 10A of the above-entitled Court, located at 180 East Weber Avenue, Stockton, California 95202, Plaintiff BRENDAN NGEHSI NEWANFORBI will and hereby does oppose the demurrer of Defendants KATIE PALACIOS and HOPE PSYCHOTHERAPY, INC., d/b/a HOPE PROGRAM (collectively, "Defendants") to Plaintiff's First Amended Complaint ("FAC").

This opposition is based upon this Notice, the accompanying Memorandum of Points and Authorities, the Declaration of Brendan Ngehsi Newanforbi filed herewith, Plaintiff's Request for Judicial Notice filed herewith, Plaintiff's Evidentiary Objections to Defendants' Request for Judicial Notice filed herewith, the [Proposed] Order filed herewith, all pleadings, papers, and

records on file, and such further argument and evidence as may be presented at the hearing.

Dated: May 22, 2026



BRENDAN NGEHSI NEWANFORBI

Plaintiff, In Pro Per

MEMORANDUM OF POINTS AND AUTHORITIES

I. INTRODUCTION

Defendants' demurrer asks this Court to do five things it cannot do on demurrer: (1) weigh disputed facts on causation by importing extrinsic content from a CDCR Form 1502-DR that is neither pleaded in the FAC nor judicially noticed; (2) graft a CDCR-administrative-grievance exhaustion requirement onto common-law tort and statutory claims against private, for-profit contractors operating outside any prison and outside CDCR's adjudicative jurisdiction; (3) recast a damages action against private parties as a habeas petition that, by its own terms, cannot lie against private parties and cannot afford damages; (4) re-write the Bane Act to exclude statutory rights that the California Supreme Court has expressly held it protects; and (5) abuse the doctrine of judicial notice to convert this demurrer into a contested evidentiary hearing on Plaintiff's character and litigation history.

Each of these arguments fails as a matter of law. The FAC alleges, with specificity, that Defendants — a private, for-profit CASOMB-certified outpatient contractor and its site clinical director — made knowingly false treatment-status representations to CDCR, that those representations were the express treatment-based predicate of CDCR's November 2025 retention

decision, and that Plaintiff was thereby caused to lose at least $109,408 in CDL wages (with continuing losses of approximately $6,000 per month), to remain on parole supervision, and to suffer severe emotional distress. Defendants do not contest the specificity of the alleged misrepresentations. They do not separately attack the elements of negligence, intentional infliction of emotional distress ("IIED"), intentional interference with prospective economic advantage, declaratory relief, or unfair competition. Their demurrer rises and falls on a single, improperly imported factual narrative about parole-agent reasoning and a misreading of three doctrines. Each fails.

Two further considerations defeat the demurrer at the threshold. **First,** by Order in *In re Frederick Dwyer*, No. SC-080355A (San Mateo Super. Ct., Mar. 20, 2023), a California Superior Court has already documented — on an evidentiary record that included sworn testimony from HOPE's own Executive Director of Clinical Training — the very blanket retention policy at the core of this case, and concluded that the policy "vitiates the Legislature's directive" under Penal Code section 3008(d)(2). (FAC Ex. A; RJN Ex. A.) **Second**, effective April 17, 2025, Title 15, California Code of Regulations, section 3574(f)(1) was amended to provide expressly that "[t]reatment completion and parole discharge are legally separate decisions" — a regulation in force at the time of the November 19, 2025 1502-DR review and that Defendants concededly ignored. (RJN Ex. C.) Together with the judicial-notice materials in Plaintiff's RJN, these facts establish duty, breach, scienter, and the unlawful predicate for the UCL and negligence-per-se theories independent of any contested evidence.

II. THE FAC'S WELL-PLEADED FACTS, ACCEPTED AS TRUE

A. The parties and Plaintiff's status.

Defendant HOPE PSYCHOTHERAPY, INC. is a private California for-profit corporation that contracts with CDCR to provide CASOMB-certified outpatient services to sex-offender

parolees. (FAC, p. 2 ¶¶ 4–5.) Defendant KATIE PALACIOS is the Clinical Director of HOPE's Stockton site, a licensed Marriage and Family Therapist (LMFT No. 44555), and a managing agent of HOPE with substantive, independent authority over the site's clinical and administrative operations. (FAC, p. 2 ¶ 3; p. 13 ¶ 12.) Plaintiff is a CDCR parolee (CDCR No. BF3571) assigned to the Stockton 2 GPS parole unit, with a Controlling Discharge Date of December 2, 2030. (FAC, p. 5 ¶ 9.)

B. HOPE's blanket retention policy — adjudicated, regulated, and re-applied.

The FAC alleges that HOPE applies a uniform corporate policy under which no parolee can ever satisfy completion criteria prior to discharge from parole, regardless of clinical progress, compliance, risk reduction, or time in treatment. (FAC, pp. 6–8 ¶¶ 13–18.) That policy was documented under oath in *In re Dwyer*, where HOPE's own Executive Director of Clinical Training testified that HOPE "believes a continuous connection to treatment is required for all sex offender parolees" and that HOPE's "aftercare" phase is "mandatory for those who have not yet discharged from parole." (FAC, p. 6 ¶ 14; Ex. A; RJN Ex. A at pp. 10–11.) Effective April 17, 2025, the State enacted Title 15 CCR § 3574(f)(1), expressly requiring that "[t]reatment completion and parole discharge are legally separate decisions" (RJN Ex. C). Defendants applied the same blanket policy to Plaintiff throughout 2024 and 2025, with full knowledge of the Dwyer ruling and the regulatory amendment. (FAC, pp. 8–9 ¶¶ 18, 22–24.)

C. Specific misrepresentations to Plaintiff and to CDCR.

The FAC alleges three categories of specific misrepresentations: (1) intake and ongoing representations to Plaintiff that HOPE used objective, individualized completion criteria and that completion was achievable during his parole term (FAC, pp. 10–11 ¶¶ 2–4); (2) repeated CTM and progress-report representations to CDCR characterizing Plaintiff as having only "partial" homework completion and as not having completed treatment, when in fact Plaintiff had

completed all assigned packets and HOPE had lost them (FAC, p. 12 ¶ 5); and (3) Palacios's August 2025 admission to Plaintiff, in person, that HOPE "routinely loses" client homework packets while continuing to issue "partial completion" reports to CDCR (FAC, p. 12 ¶ 5).

D. Express CDCR reliance — the 1502-DR's treatment-based predicate.

Palacios's and HOPE's reports were incorporated into the November 2025 1502-DR review, which expressly relied on HOPE's non-completion recommendation as the treatment-based predicate for continued DAPO supervision. (FAC, pp. 7–8 ¶¶ 16–18 and 8:21–23.) The 1502-DR culminated in an agent recommendation of Discharge Denied/No Action. (Id.)

E. Concrete economic harm — supervision-suppressed CDL earnings.

Plaintiff holds a Class A Commercial Driver's License and has documented W-2 employment with six different carriers over three years. He was forced to resign his United Road CDL position in January 2022 after his parole agent threatened a parole violation for missing a HOPE session; was forced to decline specific dispatches falling on HOPE group-session days; and suffered measured year-by-year W-2 wage losses of $32,447 (2022), $60,855 (2023), and $16,106 (2024), with continuing losses of approximately $6,000 per month thereafter. (FAC, pp. 9–10 ¶ 2; p. 15 ¶ 7(d).)

III. LEGAL STANDARD

A demurrer tests only the legal sufficiency of the pleading. (*Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 747.) The Court treats the demurrer as admitting all material facts properly pleaded and all facts that may reasonably be inferred from them. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318; *Aubry v. Tri-City Hospital Dist.* (1992) 2 Cal.4th 962, 967.) The allegations of

the complaint must be liberally construed with a view to substantial justice between the parties. (Code Civ. Proc. § 452; *Stevenson v. Superior Court* (1997) 16 Cal.4th 880, 885.)

A demurrer is not a substitute for a motion for summary judgment. The Court does not weigh competing factual narratives, evaluate the truth of the complaint's allegations, or consider extrinsic evidence that is neither pleaded nor properly judicially noticed. (*Hahn, supra*, 147 Cal.App.4th at 747; *Marina Tenants Assn. v. Deauville Marina Development Co.* (1986) 181 Cal.App.3d 122, 132.) When a court may take judicial notice of court records, it does so only to establish the fact of the filing and the legal effect of the order — not the truth of any contested factual finding. (*Sosinsky v. Grant* (1992) 6 Cal.App.4th 1548, 1565; *Lockley v. Law Office of Cantrell, Green, Pekich, Cruz & McCort* (2001) 91 Cal.App.4th 875, 882; *Aaronoff v. Martinez-Senftner* (2006) 136 Cal.App.4th 910, 919.) If any portion of the pleading states a cause of action, the demurrer must be overruled. (*Wilner v. Sunset Life Ins. Co.* (2000) 78 Cal.App.4th 952, 958–959.)

IV. DEFENDANTS' THREE GLOBAL THEORIES ALL FAIL

A. Defendants' causation argument is an improper extrinsic-evidence challenge to a well-pleaded fact, not a legal defect.

Defendants argue that the FAC "establishes" that HOPE and Palacios did not cause Plaintiff's harm because CDCR's 1502-DR also referenced his Stable-2007 score, his supervision tier, and other supervision history. That argument is improper for three independent reasons.

First, the FAC pleads — and on demurrer the Court must accept — that HOPE's non-completion characterization and "partial homework" misrepresentations were a *substantial factor* in CDCR's retention decision and the but-for cause of the *treatment-based* portion of the 1502-DR's reasoning. (FAC, pp. 7–8 ¶¶ 16–18; p. 13 ¶ 6; *Rutherford v. Owens-Illinois, Inc.*

(1997) 16 Cal.4th 953, 968–969; CACI No. 430.) That allegation must be accepted at this stage. (*Blank, supra*, 39 Cal.3d at 318.)

Second, even on the extrinsic narrative Defendants improperly invoke, the existence of other contributing reasons in the 1502-DR establishes *concurrent* causation, not a break in the causal chain. (CACI No. 431; *Vecchione v. Carlin* (1980) 111 Cal.App.3d 351, 357 [concurrent causation does not absolve any one tortfeasor].) The FAC alleges that HOPE's non-completion recommendation was the *explicitly identified* treatment-based predicate for retention. That is all the law requires.

Third, Defendants' "judicial notice" of a 1502-DR document not attached to the FAC asks the Court to accept the truth of agency hearsay on demurrer, which is prohibited. (*Sosinsky, supra*, 6 Cal.App.4th at 1565–1569; *Day v. Sharp* (1975) 50 Cal.App.3d 904, 914; *Aaronoff, supra*, 136 Cal.App.4th at 919.) The Court should decline that invitation.

Finally, Defendants insist that Palacios's characterizations are mere clinical "opinions" beyond factual challenge. That is not the law. Statements of fact disguised as opinion are actionable when the speaker possesses superior knowledge, when the statement implies an undisclosed factual basis, or when the speaker does not actually hold the opinion. (*Hauter v. Zogarts* (1975) 14 Cal.3d 104, 111–112; *Cohen v. S & S Construction Co.* (1983) 151 Cal.App.3d 941, 946; *Bily v. Arthur Young & Co.* (1992) 3 Cal.4th 370, 408.) The FAC alleges that HOPE's purported clinical determinations are the mechanical output of a blanket retention policy (FAC, p. 8 ¶ 18; RJN Ex. A) — the very definition of an opinion not honestly held — and that the "partial homework" reports were knowingly false because Plaintiff completed all packets and Palacios personally admitted in August 2025 that HOPE routinely loses them (FAC, p. 12 ¶ 5). Those are factual disputes, not legal defects.

B. No administrative exhaustion is required against a private, for-profit

outpatient contractor for tort, statutory, and UCL damages.

Defendants demand that Plaintiff exhaust CDCR's prison-grievance procedures (15 CCR § 3480 et seq.) before suing HOPE and Palacios. That demand fails three times over.

1. The exhaustion rule applies only when an adequate administrative remedy exists.

A complaint is vulnerable to demurrer on exhaustion grounds only if an "applicable statute, ordinance, or regulation provides an adequate administrative remedy." (*Foster v. Sexton* (2021) 61 Cal.App.5th 998, 1023; *Sierra Club v. San Joaquin Local Agency Formation Com.* (1999) 21 Cal.4th 489, 510.) CDCR's grievance process governs grievances against "the department or departmental staff" (15 CCR § 3481(a)); it provides no mechanism to adjudicate common-law fraud, negligence, IIED, or interference claims against private contractors, and it cannot award compensatory or punitive damages against a private corporation. Where the agency has no jurisdiction to provide the remedy sought, exhaustion is not required. (*Coachella Valley Mosquito & Vector Control Dist. v. California Public Employment Relations Bd.* (2005) 35 Cal.4th 1072, 1080; *Edgren v. Regents of University of California* (1984) 158 Cal.App.3d 515, 520.)

2. Parthemore is distinguishable; HOPE is not an on-site prison medical provider.

Defendants rely on *Parthemore v. Col* (2013) 221 Cal.App.4th 1372, but Parthemore involved a clinical professional operating *inside a secure state prison* where CDCR maintained a specialized health-care appeal process (Form 602-HC) capable of addressing the medical determinations at issue. Here, HOPE is an independent, for-profit outpatient contractor operating *outside* any prison; CDCR has no Form 602-HC analog for outpatient sex-offender treatment; CDCR cannot order HOPE to change its internal billing structure, correct its corporate record loss, or pay damages; and CDCR cannot adjudicate common-law tort or UCL claims against private parties at all. Parthemore therefore does not control.

3. The rule of Wright is satisfied because no administrative jurisdiction exists here.

Defendants invoke *Wright v. State of California* (2004) 122 Cal.App.4th 659 for the proposition that exhaustion may be required even where money damages are unavailable through the agency. But Wright's rule applies only when the agency *has underlying jurisdiction* to resolve the core dispute and can provide *some* meaningful relief. Where, as here, the defendants are private parties outside the agency's adjudicative jurisdiction, Wright does not apply. (*Foster, supra*, 61 Cal.App.5th at 1023; *Mediterranean Const. Co. v. State Farm Fire & Cas. Co.* (1998) 66 Cal.App.4th 257, 263.)

4. Exhaustion would, in any event, be futile. An exhaustion requirement is excused where pursuit of the administrative remedy would be futile. (*Ogo Associates v. City of Torrance* (1974) 37 Cal.App.3d 830, 834; *Doster v. County of San Diego* (1988) 203 Cal.App.3d 257, 261.) The Dwyer order (RJN Ex. A) documents CDCR's institutional deference to HOPE's clinical characterizations and CDCR's adoption of HOPE's policy framework. Filing a grievance against HOPE through CDCR's process — to challenge HOPE's own determinations, on which CDCR concededly relies — is, by definition, futile. (See FAC, pp. 7–8 ¶¶ 16–18.) Plaintiff is, in any event, prepared to amend to allege additional facts regarding informal complaints to parole staff and CDCR's responses if the Court deems further specificity necessary.

C. Habeas corpus is neither an exclusive nor an available remedy for these damages claims against private actors.

Defendants' demand that Plaintiff proceed exclusively by habeas corpus is wrong as a matter of black-letter law. Three points dispose of the argument.

1. Habeas cannot lie against private parties and cannot award damages. Habeas corpus is an extraordinary remedy directed at the official custodian to test the legality of restraint. (Pen. Code § 1473; *In re Estrada* (1996) 47 Cal.App.4th 1688, 1693.) It cannot be brought against private parties such as HOPE and Palacios, and it cannot award the compensatory and

punitive damages, restitution, declaratory relief against private conduct, attorney's fees, and prospective injunctive relief directed at HOPE that Plaintiff seeks. (*In re Crow* (1971) 4 Cal.3d 613, 619 [habeas not a substitute for damages]; *Wilkinson v. Dotson* (2005) 544 U.S. 74, 82 [civil rights action for damages and procedural relief is cognizable; not converted to habeas because relief sought does not necessarily entail immediate release].)

2. Plaintiff is not seeking habeas-type relief. To avoid all doubt, Plaintiff expressly disclaims any request that this Court (a) order immediate termination of his parole supervision; (b) direct CDCR to change his current parole conditions; or (c) order CDCR to discharge him. The FAC seeks (i) compensatory damages for past and ongoing economic harm and emotional distress proximately caused by HOPE's misrepresentations and unlawful policy; (ii) declaratory relief addressed to HOPE's blanket retention policy as applied to Plaintiff; (iii) injunctive relief addressed *to HOPE* (requiring individualized completion criteria, accurate reporting, and an appeal mechanism); and (iv) restitution, punitive damages, attorney's fees, and costs. (FAC, pp. 22–23.) None of that relief lies in habeas; all of it lies in ordinary civil court.

3. Systemic challenges to §3008(d) retention practices proceed through civil writ and damages, not habeas. In *Alliance for Constitutional Sex Offense Laws, Inc. v. Macomber* (L.A. Super. Ct. Case No. 23STCP02378, Dec. 13, 2023, Beckloff, J.), a California superior court overruled CDCR's demurrer to a writ-of-mandate petition alleging that CDCR's regulations, policies, and practices unlawfully prevented discharge from the sex-offender management program before discharge from parole. (RJN Ex. B.) Defendants' Exhibit D to their own RJN, drawing on the reasoning in *Villery v. CDCR*, recognizes that habeas is an "extraordinary" remedy and that a "single" civil action challenging statewide policies may be more "plain, speedy, and adequate" than serial habeas petitions. That reasoning applies *a fortiori* to a damages-and-UCL action against a private vendor.

V. EACH CAUSE OF ACTION IS WELL-PLEADED

A. First Cause of Action — Fraud / Intentional Misrepresentation.

The elements are (1) misrepresentation; (2) knowledge of falsity or reckless disregard; (3) intent to induce reliance; (4) justifiable reliance; and (5) resulting damage. (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638.) The FAC pleads each with specificity. Misrepresentations include (i) HOPE's intake and ongoing representations that it used objective, individualized completion criteria (FAC, pp. 10–11 ¶¶ 2–4); (ii) Palacios's and HOPE's repeated CTM and progress-report "partial homework" representations to CDCR (FAC, p. 12 ¶ 5); and (iii) Palacios's June 2024 statement that HOPE had no record of Plaintiff ever completing homework (FAC, p. 11 ¶ 4). Scienter is established by HOPE's Executive Director's sworn testimony in Dwyer (RJN Ex. A), Palacios's August 2025 admission that HOPE routinely loses homework packets (FAC, p. 12 ¶ 5), and the fee-for-service revenue motive established by the Alameda contract (RJN Ex. D). Reliance is pleaded both by Plaintiff (continued participation, declined dispatches, life arrangement) and by CDCR (incorporation of HOPE's non-completion characterization into the 1502-DR). Damages are pleaded with calculation. Demurrer overruled.

B. Second Cause of Action — Negligence and Negligence Per Se.

1. Duty. HOPE is a CASOMB-certified outpatient provider performing delegated governmental functions affecting Plaintiff's liberty. That status, combined with the captive nature of the treatment relationship, gives rise to a special-relationship duty of reasonable care. (*Giraldo v. California Dept. of Corrections & Rehabilitation* (2008) 168 Cal.App.4th 231, 250–253.) The duty includes maintaining an individualized treatment plan, applying lawful completion criteria, accurately tracking and reporting homework and progress, and keeping treatment completion separate from parole discharge as required by Title 15 CCR § 3574(f)(1). The CASOMB Treatment Completion Guidelines and Maintenance & Aftercare Guidelines (RJN Ex. E) further define that standard of care. (*Landeros v. Flood* (1976) 17 Cal.3d 399, 408–409.)

2. Negligence per se under Evidence Code § 669. The FAC pleads — and the judicially noticed materials confirm — that Defendants violated two specific statutory and regulatory standards enacted to protect parolees in sex-offender management programs from precisely the indefinite-retention and liberty/earning-capacity harms suffered here:

(a) Penal Code section 3008(d)(2), which authorizes program participation "up to" the balance of the parole term but does not authorize a blanket policy that converts "up to" into a mandatory floor — a result the Dwyer court found "vitiates the Legislature's directive" (RJN Ex. A at pp. 10–11); and

(b) Title 15 CCR § 3574(f)(1), effective April 17, 2025, which provides expressly that "[t]reatment completion and parole discharge are legally separate decisions" (RJN Ex. C).

Both provisions impose a duty; the FAC alleges Defendants violated both; Plaintiff is a parolee in the protected class; and the harms alleged — indefinite supervision, suppressed CDL earnings, emotional distress — are the harms the regulations were designed to prevent. That satisfies *Elsner v. Uveges* (2004) 34 Cal.4th 915, 927–928, and the presumption of negligence under Evidence Code section 669 applies.

3. Breach and causation. Same as the fraud and global causation analysis above. Defendants' contrary narrative is improper at this stage. Demurrer overruled.

C. Third Cause of Action — False Imprisonment / Unlawful Restraint.

The elements are (1) nonconsensual, intentional confinement; (2) without lawful privilege; (3) for an appreciable time. (*Fermino v. Fedco, Inc.* (1994) 7 Cal.4th 701, 715.) Confinement is not limited to physical custody; it includes any express or implied threat of force compelling a person to remain where he does not wish to remain or to go where he does not wish

to go. (*Id.* at 715–716; *Molko v. Holy Spirit Assn.* (1988) 46 Cal.3d 1092, 1123.) The FAC alleges that Defendants' false treatment-status representations procured the continuation of Plaintiff's GPS monitoring, curfew, geographic restrictions, and mandatory treatment attendance. (FAC, pp. 16–17 ¶¶ 1–4; *People v. Dominguez* (2010) 180 Cal.App.4th 1351, 1358–1359 [GPS monitoring is a significant restraint on liberty].) Where private actors procure unlawful restraint through misrepresentation to authorities, they are liable for false imprisonment. (*Du Lac v. Perma Trans Products, Inc.* (1980) 103 Cal.App.3d 937, 942; *Asgari v. City of Los Angeles* (1997) 15 Cal.4th 744, 757.) Demurrer overruled.

D. Fourth Cause of Action — Intentional Infliction of Emotional Distress.

The elements are (1) outrageous conduct; (2) intent to cause or reckless disregard for the probability of causing emotional distress; (3) severe emotional distress; and (4) causation. (*Hughes v. Pair* (2009) 46 Cal.4th 1035, 1050–1051.) Conduct is "outrageous" when it exceeds the bounds tolerated in a civilized community; the power disparity between the parties heightens the analysis. (*Alcorn v. Anbro Engineering, Inc.* (1970) 2 Cal.3d 493, 498–499.) The FAC alleges (i) operation of a system-from-which-there-is-no-exit by a captive provider profiting from continued captivity; (ii) misrepresentation of that system's output as individualized clinical assessment to the agency controlling Plaintiff's custody; (iii) continuation of judicially condemned and regulatorily prohibited practices; (iv) routine loss of Plaintiff's homework and refusal to acknowledge it on the record while reporting "partial" completion; and (v) no written criteria, appeal process, or challenge mechanism. (FAC, pp. 17–19 ¶¶ 1–10.) Severe distress is specifically pleaded — pervasive anxiety, humiliation, chronic sleep disturbance, hypervigilance, and ongoing distress from five years of entrapment with no achievable exit. (FAC, pp. 18–19 ¶¶ 6–8.) Demurrer overruled.

E. Fifth Cause of Action — Intentional Interference with Prospective Economic Advantage.

The elements are (1) an economic relationship with the probability of future economic benefit; (2) defendant's knowledge of the relationship; (3) intentional and independently wrongful acts designed to disrupt; (4) actual disruption; and (5) economic damage proximately caused. (*Korea Supply Co. v. Lockheed Martin Corp.* (2003) 29 Cal.4th 1134, 1153, 1158–1159.) The FAC pleads (i) Plaintiff's Class A CDL and documented W-2 employment with six carriers (FAC, pp. 9–10 ¶ 2; p. 20 ¶ A); (ii) Defendants' knowledge of Plaintiff's CDL employment from his stated work schedule (FAC, p. 10 ¶ 2); (iii) intentional acts disrupting the relationships — group-session scheduling, false reports causing continued supervision restrictions, parole-violation threats from agents acting on HOPE reports (FAC, pp. 10–11 ¶¶ 2–4); (iv) actual disruption — resigned positions, declined dispatches; and (v) computed wage losses of $109,408 with continuing $6,000-per-month losses. The independently wrongful conduct element is satisfied by the §3008(d)(2) and §3574(f)(1) violations and the fraudulent reporting. Demurrer overruled.

F. Sixth Cause of Action — Bane Act (Civil Code § 52.1).

The Bane Act protects "rights secured by the Constitution or laws of the United States, or of rights secured by the Constitution or laws of California" against interference by "threat, intimidation, or coercion." (Civ. Code § 52.1(b).) The California Supreme Court has expressly held that the Act reaches statutory rights, not just constitutional ones. (*Venegas v. County of Los Angeles* (2004) 32 Cal.4th 820, 843.) The FAC alleges interference with (i) Plaintiff's statutory right under Penal Code § 3008(d)(2) and Title 15 CCR § 3574(f)(1) to a program-participation period not exceeding the parole term and a completion process separate from discharge; and (ii) his due-process-rooted liberty interests in being free from continued custodial restraint procured by knowingly false treatment characterizations. (FAC, pp. 20–21 ¶¶ 1–8.)

The "threat, intimidation, or coercion" element is satisfied by (i) HOPE's *de facto* power, channeled through Palacios's CTM and progress reports, to procure parole-violation referrals and

continued supervision restrictions if Plaintiff does not submit to the indefinite-retention regime; and (ii) coercive demands that Plaintiff decline CDL dispatches and lose income under threat of parole violation. (FAC, p. 21 ¶ 5.) Threat, intimidation, or coercion separate from the underlying constitutional or statutory violation is required in arrest cases, but the same is not required where the very conduct interfering with the right is itself coercive. (*Reese v. County of Sacramento* (9th Cir. 2018) 888 F.3d 1030, 1043; *Cornell v. City and County of San Francisco* (2017) 17 Cal.App.5th 766, 802 [Bane Act "reckless disregard" standard].) Demurrer overruled.

G. Seventh Cause of Action — Declaratory Relief.

An actual controversy exists between Plaintiff and Defendants regarding the legality of HOPE's blanket retention policy as applied to Plaintiff under Penal Code § 3008(d)(2) and Title 15 CCR § 3574(f)(1). (Code Civ. Proc. § 1060; *Maguire v. Hibernia Savings & Loan Soc.* (1944) 23 Cal.2d 719, 728–729.) The controversy is capable of repetition yet evading review because HOPE continues to apply the same policy to Plaintiff and will continue to submit treatment characterizations to CDCR in future discharge reviews. (FAC, pp. 22–23.) Declaratory relief against the private defendants does not implicate habeas. Demurrer overruled.

H. Eighth Cause of Action — Unfair Competition Law (Bus. & Prof. Code § 17200).

The UCL prohibits any "unlawful, unfair or fraudulent business act or practice." (*Cel-Tech Communications, Inc. v. Los Angeles Cellular Telephone Co.* (1999) 20 Cal.4th 163, 180.) The FAC pleads all three prongs.

Unlawful. Defendants' blanket retention policy violates Penal Code § 3008(d)(2) and Title 15 CCR § 3574(f)(1) (RJN Ex. C). Either violation independently supplies the "unlawful" predicate. (*People ex rel. Harris v. Pac. Anchor Transp., Inc.* (2014) 231 Cal.App.4th 103, 113.)

Unfair. Operating a system from which no participant can exit while collecting $10,400 in baseline annual revenue per client — terminating only on discharge — and applying that system to a captive client base after a California court has expressly condemned it constitutes a substantively unfair business practice. (*Bardin v. DaimlerChrysler Corp.* (2006) 136 Cal.App.4th 1255, 1268; *Drum v. San Fernando Valley Bar Assn.* (2010) 182 Cal.App.4th 247, 257.)

Fraudulent. Misrepresenting the system's output as individualized clinical assessment to both clients and CDCR meets the "likely to deceive" standard. (*Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 211.) Plaintiff has standing through quantified economic injury — at least $109,408 in lost CDL wages directly traceable to the unfair practices. (Bus. & Prof. Code § 17204; *Kwikset Corp. v. Superior Court* (2011) 51 Cal.4th 310, 322–323.) Demurrer overruled.

VI. DEFENDANTS' REQUEST FOR JUDICIAL NOTICE MUST BE LIMITED

Defendants' Request for Judicial Notice asks the Court to notice four other civil-action filings by Plaintiff and to draw *character and propensity* inferences from them — specifically, that Plaintiff is "fixated on lawsuits" and that his litigation history is "objective evidence" of bad faith. Plaintiff does not oppose judicial notice of the *existence* and filing of those records; he does oppose any of the improper uses to which Defendants would put them. Plaintiff has filed concurrent Evidentiary Objections to Defendants' RJN. The objections may be summarized as follows:

First, judicial notice of court records does not extend to the truth of disputed hearsay statements or factual findings in those records. (*Sosinsky, supra*, 6 Cal.App.4th at 1565–1569; *Lockley, supra*, 91 Cal.App.4th at 882.) **Second**, judicial notice may not be used to prove character or propensity. (*Herrera v. Deutsche Bank National Trust Co.* (2011) 196 Cal.App.4th 1366, 1375; Evid. Code §§ 1101(a), 350.) **Third**, the number of separate actions Plaintiff has

filed is irrelevant to whether HOPE's specific misrepresentations in this case were truthful and whether they caused the specific harms pleaded here. **Fourth**, Defendants' RJN does not include the 1502-DR they rely upon for their causation narrative; even if it did, judicial notice of an agency report does not establish the truth of its hearsay. (*Aaronoff, supra*, 136 Cal.App.4th at 919.) The Court should grant the RJN, if at all, only for the limited fact of filing.

VII. PUNITIVE DAMAGES ARE ADEQUATELY PLEADED

Although Defendants do not specifically demur to punitive damages, their broader attack on scienter implicates the issue. The FAC alleges (i) fraud, malice, and oppression by Palacios and HOPE within the meaning of Civil Code section 3294; and (ii) corporate liability under section 3294(b) through Palacios's role as a managing agent and through HOPE's authorization, ratification, and continuation of the blanket retention policy after specific judicial and regulatory notice.

Palacios, as Clinical Director of HOPE's Stockton site, exercises substantive discretionary authority over the clinic's clinical and administrative operations, including the CTM and progress-report process at issue. That is sufficient to plead managing-agent status. (*White v. Ultramar, Inc.* (1999) 21 Cal.4th 563, 576–577.) And HOPE's continuation of the blanket retention policy after the Dwyer order (March 2023) and the section 3574(f)(1) amendment (April 2025) is precisely the conscious disregard of a known legal duty that satisfies the malice standard. (*Taylor v. Superior Court* (1979) 24 Cal.3d 890, 895–896.)

VIII. CONCLUSION

The FAC pleads, with the specificity required of fraud and the liberal construction required of all civil pleadings, seven cognizable causes of action against a private for-profit contractor and its managing agent for documented misrepresentations and unlawful policies that

caused concrete economic and emotional harm. None of Defendants' three global theories — causation by extrinsic narrative, administrative exhaustion, and habeas exclusivity — survives application of the demurrer standard. The demurrer should be overruled in its entirety.

In the alternative, if the Court identifies any specific pleading deficiency, Plaintiff respectfully requests leave to amend. (Code Civ. Proc. §§ 472, 473; *Hulsey v. Koehler* (1990) 218 Cal.App.3d 1150, 1159 [liberality in granting leave]; *Goodman v. Kennedy* (1976) 18 Cal.3d 335, 348–349.) Plaintiff is prepared to allege additional facts including, without limitation: (a) the verbatim text of the November 2025 1502-DR's treatment-based reasoning; (b) dispatch-by-dispatch CDL earnings logs; (c) additional Palacios and HOPE clinician statements; and (d) informal-grievance history with parole staff.

Dated: May 22, 2026



BRENDAN NGEHSI NEWANFORBI

Plaintiff, In Pro Per